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Valuation of Capgemini SE: Understanding Fair Value Through a Forward-Looking Analysis

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Academic Year 2025/2026



Abstract

This dissertation provides an investment recommendation for Capgemini SE, a global leader in consulting, technology, and digital transformation services. The analysis employs a Discounted Cash Flow (DCF) valuation model as the principal method for estimating the firm's intrinsic value, supported by a comparable valuation based on market-derived multiples. Five years of historical financial data are examined, and a five-year forecast is developed using the Free Cash Flow to the Firm (FCFF) approach, discounted at the Weighted Average Cost of Capital (WACC). The projection incorporates external value drivers relevant to Capgemini's business composition, industry dynamics, and regional exposure.

The base-case DCF yields an equity value of €27,649 million and an implied share price of €156.74, indicating a discount relative to the market price since 30/06/2025. A sensitivity analysis further highlights the valuation's dependence on the WACC and perpetual growth assumptions.

A relative valuation using P/E, EV/EBITDA, EV/EBIT, and EV/Revenue multiples compared with a peer group of the major IT-services competitors indicates that Capgemini trades below the median of its peers, suggesting potential undervaluation from a market pricing perspective.

The dissertation concludes with a **BUY** recommendation for Capgemini's shares, integrating the results of the intrinsic and relative valuation findings with a qualitative assessment of the company's strategic positioning, digital capabilities, and long-term exposure to structural technology trends.

Table of Abbreviations

DCF	Discounted Cash Flow
CAGR	Compound Annual Growth Rate
CapEx	Capital Expenditure
FCFF	Free Cash Flow to the Firm
WACC	Weighted Average Cost of Capital
EV	Enterprise Value
TV	Terminal Value
g	Perpetual Growth rate
EBITDA	Earnings Before Interest, Taxes, Depreciation and Amortisation
EBIT	Earnings Before Interest and Taxes
D&A	Depreciation and Amortisation
ROE	Return on Equity
FCF	Free Cash Flow
EPS	Earnings Per Share
P/E	Price/Earnings ratio
PV	Present Value
ERP	Equity Risk Premium
CAPM	Capital Asset Pricing Model
OAT	Obligations Assimilables du Trésor
FY	Fiscal Year
H1	First Half Year
YoY	Year over Year
AI	Artificial Intelligence
APAC	Asia Pacific
R&D	Research & Development
IT	Information Technology
%cc	Constant Currency

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1.0 Introduction

This chapter provides the strategic, operational, and financial context required to determine the intrinsic value of Capgemini SE, a global leader in technology consulting and digital transformation services. This section provides the contextual framework for interpreting the valuation methodologies presented in Chapter 2 and applied in Chapter 3.

The chapter opens by outlining the valuation trajectory adopted in this dissertation, explaining how the DCF and market-based methodologies collectively inform the final investment recommendations. It then examines Capgemini's corporate profile, capital structure, financial performance, geographical revenues, and business segments, emphasising the key features that shape the firm's cash-flow dynamics and risk profile.

The chapter concludes with an industry overview that analyses the market conditions and structural trends influencing Capgemini's medium-term estimations, together with the assumptions underpinning the free cash flow forecasts. Overall, this chapter establishes the empirical and conceptual foundation necessary for a rigorous and coherent valuation exercise.

1.1 Trajectory of the Valuation

This dissertation establishes a comprehensive valuation of Capgemini SE through a five-year explicit forecast period (2025-2030), followed by a long-term continuation phase. The primary methodology employs a DCF framework, wherein FCFF are projected and discounted at the WACC to estimate the enterprise value (EV), subsequently adjusted for net financial liabilities to determine the equity value and the implied fair share price.

To evaluate the robustness of the valuation, the model incorporates a sensitivity analysis examining the impact of variations in the WACC and perpetual growth rate (g), together with a scenario analysis that considers different macroeconomic and industry conditions.

Alongside intrinsic valuation, a relative valuation is conducted utilising market-based multiples (P/E, EV/EBITDA, EV/EBIT and EV/Revenue) applied to a meticulously chosen peer group of global IT-services companies. This comparison provides an external benchmark for assessing whether Capgemini's valuation aligns with sector pricing.

By integrating these complementary methodologies, the dissertation provides a rigorous and balanced evaluation of Capgemini's fair value and supports the final investment recommendation.

1.2 Company Overview

Founded in 1967 in Grenoble by Serge Kampf, Capgemini SE has grown into one of the world's leading professional services organisations, with core strengths in consulting, technology integration, engineering, and large-scale digital transformation (Capgemini SE, 2024, pp. 6-7). Headquartered in Paris, the Group operates across more than 50 countries and employs approximately 340,000 people worldwide (Capgemini SE, 2024, pp. 6-7; Capgemini SE, 2025).

Capgemini competes within the global information technology and professional services sector, delivering cloud, data, artificial intelligence, engineering, and managed-services solutions aimed to help organisations modernise their operations and accelerate digital adoption. Its corporate purpose, *“Unleashing human energy through technology for an inclusive and sustainable future”*, frames the Group's long-term strategic orientation (Capgemini SE, 2024, pp. 6-7).

The company has expanded consistently through targeted acquisition, most notably the integration of Ernst & Young Consulting in 2000 and the acquisition of Altran in 2020, which strengthened its position in digital engineering and R&D services (Capgemini SE, 2021). Today, Capgemini structures its activities around three business segments: Strategy & Transformation, Applications & Technology, and Operations & Engineering (Capgemini SE, 2024, pp. 8-9).

Leadership has been stable: Aiman Ezzat has served as Chief Executive Officer since 2020, with Paul Hermelin acting as Chairman. Capgemini has been listed on Euronext Paris since 1985 and is a constituent of the CAC40 Index. As of 30 June 2025, the company's shares traded at €145.05, corresponding to an equity market capitalization of approximately €24,850 million (Bloomberg L.P., 2025).

1.3 Capital Structure

Capgemini maintains a conservative, equity-based financial structure. Bloomberg reports roughly 171.3 million basic shares outstanding and an equity market capitalisation of around €24,850 million, largely held by institutional investors. (Bloomberg L.P., 2025).

The Group follows a disciplined capital-return policy, combining progressive dividends and regular share buybacks (Capgemini SE, 2024, p.472). The FY2024 dividend of €3.40 per share corresponds to a payout ratio of approximately 40%, in line with Capgemini's objective of providing stable shareholder remuneration while preserving financial flexibility, and

reflecting balance-sheet strength, supported by solid free cash flow generation (Capgemini SE, 2025, p. 5). In July 2025, Capgemini launched a new €2,000 million open-market buyback programme, of which 11.64% had been executed by mid-October. In FY2024 alone, capital returns reached €989 million in buybacks and €584 million in dividends (Capgemini SE, 2025, p. 5).

The Group's leverage remains modest. Net debt increased from €2,107 million at December 2024 to €2,799 million by 30 June 2025, against €10,972 million of equity, yielding a debt-to-equity ratio of approximately 25% (Capgemini SE, 2025, p. 3). This conservative gearing supports Capgemini's investment-grade credit profile and ensures adequate liquidity and strategic flexibility.

The debt structure is composed entirely of senior unsecured instruments, totalling €13,270 million, of which €8,300 million in bonds and €4,970 million in loans (Capgemini SE, 2025). Bloomberg BVAL mid-yields on outstanding bonds range between 2.14% to 3.49% across maturities from 2026 to 2034, suggesting low funding costs and strong market accessibility (Bloomberg L.P., 2025). This structure aligns with the cost-of-debt assumptions and the EV-to-equity bridge applied in the DCF valuation.

1.4 Financial Overview

During FY2024, Capgemini generated revenues of €22,096 million, representing a year-on-year contraction of 1.9% relative to FY2023, while achieving an operating margin of 13.3%. Operating profit totalled €2,356 million, equivalent to 10.7% of revenues. Operating expenses represented 86.7% of revenues, disaggregated as follows: 72.6 % as cost of service, 7.4% selling expenses, and 6.7% general and administrative expenses. Organic free cash flow amounted to €1,961 million, indicating solid cash-conversion capabilities (Capgemini SE, 2024, pp. 372-383).

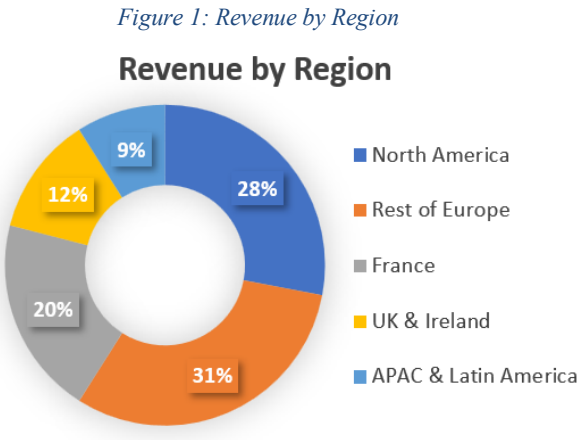
As of 31 December 2024, the Group held liquid resources comprising €2,789 million in cash and cash equivalents and €268 million in cash-management assets, with reported net debt of €2,107 million. Over the five-years between 2020-2024, revenues increased from €15,848 million to €22,096 million, yielding a CAGR of 8.7% (Capgemini SE, 2024, pp. 372-383). This expansion was driven by strong demand for cloud, data, and AI services during 2021-2022 period, subsequently moderating throughout 2023-2024 because of a reduction in discretionary spending, evident within the manufacturing sector and the French domestic market (Capgemini SE, 2025, pp. 5-7).

In accordance with the valuation data, H1 2025 revenues reported €11,107 million, with an operating margin of 12.4%. Bookings amounted to €11,993 million, resulting in a book-to-bill ratio of 1.08. As of 30 June 2025, net debt reached €2,799 million, while equity attributable to the Company’s owners was €10,972 million, suggesting a prudent leverage scenario. Those factors strengthen the FY2024 baseline applied in the DCF model and provide a coherent foundation for forward-looking assumptions (Capgemini SE, 2025, pp. 5-7).

The consistent generation of free cash flow supports Capgemini’s conservative capital allocation strategy, ensuring ongoing dividends and strategic share repurchases while maintaining balance sheet strength.

1.5 Regional Revenue Breakdown

Capgemini’s revenue composition demonstrates significant geographic diversification, offering a stable foundation for cash-flow generation. In FY2024, Rest of Europe represented the largest portion of revenue (≈31%), followed by North America (≈28%) and France (≈20%). The UK & Ireland and Asia-Pacific & Latin America constituted the remaining share (Capgemini SE, 2025).



From 2017 to 2022, revenues grew across all the regions, with particularly strong expansion in North America and the UK & Ireland, driven by post-pandemic investments in cloud, data, and AI services. The momentum slowed in 2023-2024 as discretionary expenditure declined. France faced the sharpest slowdown, while the Rest of Europe remains resilient and the UK & Ireland continue to grow. This diversification reduces exposure to cyclical volatility and supports the FY2024 baseline applied in the valuation (Capgemini SE, 2024).

Figure 2: Graphic of Revenue by Geographic Region

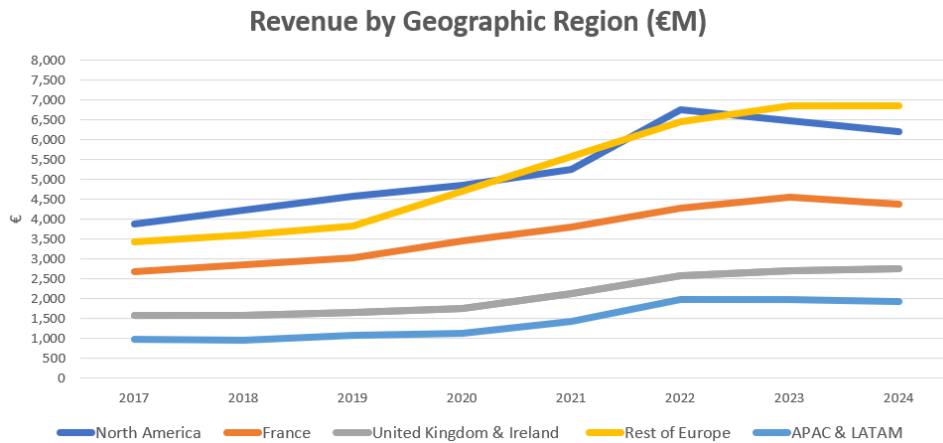


Figure 3: Table of Annual Revenue by Region 2017-2024

Mln Eur									
	31-dic	2017	2018	2019	2020	2021	2022	2023	2024
North America		3,872	4,230	4,567	4,839	5,251	6,737	6,462	6,188
France		2,676	2,848	3,017	3,443	3,799	4,276	4,537	4,380
United Kingdom & Ireland		1,580	1,565	1,653	1,741	2,127	2,561	2,709	2,753
Rest of Europe		3,415	3,605	3,809	4,700	5,563	6,437	6,837	6,851
APAC & LATAM		982	949	1,079	1,125	1,420	1,984	1,977	1,924

The H1 2025 Financial Report further demonstrates this pattern: revenue increased modestly in North America (+0.5%) and strongly in UK & Ireland (+7.5%), while France (-0.5%) and Rest of Europe (-2.0%) saw a contraction. APAC & Latin America grew by +3.5%. Regional operating margins varied from 10.0% in France to 18.1% in UK & Ireland, compared with the Group's overall margins of 12.4% (Capgemini SE, 2025, pp. 5-7). This regional structure supports the forecasts used in the DCF, particularly regarding growth normalisation and margin consistency.

1.6 Business Segments

Capgemini operates through three complementary business segments:

1. **Strategy & Transformation (S&T)** delivers advisory, design, and digital-innovation services across data, AI, and enterprise transformation programmes. Revenues are predominantly projection-based and therefore act as a leading indicator of client demand. (9%)
2. **Application & Technology (A&T)**, the Group's core division, focuses on application modernisation, cloud migration, and data and AI integration. Performance is driven by utilisation rates and the scalability of the offshore delivery model. (62%)

3. **Operations & Engineering (O&E)** combines multi-year managed services contracts with engineering and R&D capabilities, providing strong cash-flow visibility and a higher degree of revenue recurrence. (29%) (Capgemini SE, 2025)

This portfolio composition equates projection-driven growth (S&T and A&T) with the stability of recurring services (O&E), thereby reinforcing the resilience and sustainability of the Group's cash flow. The FY2024 segmental revenue distribution, constant-currency growth rates, and divisional revenue proportions are presented in Figures 4 and 5.

Figure 4: Revenue by Business

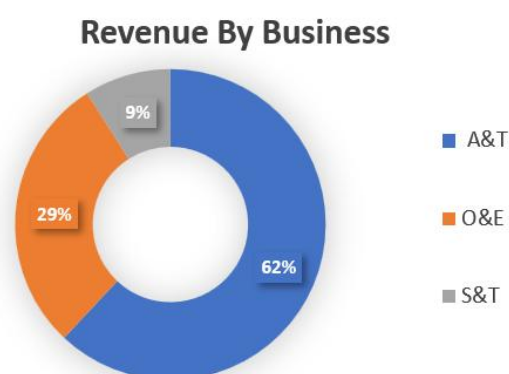


Figure 5: FY2024 Segment Growth and Utilisation Rates

Segment	FY2024 growth (cc)	2024 utilisation (avg)
Strategy & Transformation	+3.2	68.5%
Applications & Technology	-2.1	80.0%
Operations & Engineering	-2.1	n/a

1.7 Industry Overview

The global IT industry is expected to grow steadily over the medium term, with a worldwide technology spending forecast to reach \$5.43 trillion in 2025 and \$6.08 trillion in 2026. Growth is driven by continued investment in cloud infrastructure, data modernisation, cybersecurity, and the rapid adoption of applied and generative AI software (Gartner, 2025; ISG, 2025). IDC and Gartner forecasts annual IT-services growth of around 5-6% through 2027, while Deloitte projects longer-term structural expansion supported by AI-native systems, edge computing, and sustainability-driven digital transformation (Deloitte, 2025; IDC, 2025; StartUs Insights, 2025).

For mature providers such as Capgemini, these sector dynamics translate into a stable demand environment, reinforced by multi-year outsourcing contracts and the scalability of global delivery models. At the same time, the industry faces constraints, including slower enterprise

spending in Europe, wage pressure, and competitive pricing, which limit significant margin expansion despite rising demand for high-value services.

Overall, the sector outlook supports a moderate and sustainable growth trajectory for Capgemini, consistent with the 3% revenue CAGR and the stable EBIT margins employed in the valuation. The combination of long-term digital transformation trends and predictable service revenues also strengthens the assumption of a prudent but credible perpetual growth rate in the DCF model.

2.0 Methodology

This chapter outlines the methodological framework used to assess the value of Capgemini SE. In line with established corporate finance practices, the research relies on two complementary methodologies: an intrinsic valuation based on a DCF model and a relative valuation based on peer-group multiples comparison (Koller, Goedhart and Wessels, 2020; Damodaran, 2012). The purpose of this chapter is not to compute numerical inputs, which will occur in Chapter 3, but to explain the rationale of each approach, the theoretical assumptions behind each method, and the reasons these frameworks are appropriate in evaluating Capgemini's intrinsic value in order to give a final investment recommendation.

2.1 Valuation Approach

Valuation aims to estimate the economic value of a company based on its ability to generate sustainable cash flows and returns for investors (Koller, Goedhart and Wessels, 2020; Damodaran, 2012). Two complementary approaches are used in this dissertation: an intrinsic approach, which derives values from the firm's financial statements, and a market-based approach, which benchmarks the company against peers operating in a similar sector and with comparable growth conditions.

The intrinsic method provides a forward-looking valuation based on projected performance, cash generation, and capital structure, particularly aligned for mature, cash-generative firms such as Capgemini. The market-based approach illustrates current investors' sentiment in the market towards comparable companies, providing an external benchmark for valuation credibility.

Using both methods strengthens the valuation's analytical rigour: the DCF determines Capgemini's fair values, while the multiple-based comparison tests its consistency against current market evidence. This approach facilitates a balanced and accurate evaluation of the firm's worth.

2.2 Discount Cash Flow (DCF)

The DCF method estimates a firm's enterprise value by calculating the present value of its future cash flows, adjusted for the time value of money and the risk associated with those cash flows (Koller, Goedhart and Wessels, 2020; Damodaran, 2021). Value is created when return on invested capital exceeds the cost of capital over time.

Operationally, the DCF is implemented by forecasting FCFF over an explicit horizon, followed by Terminal Value (TV) capturing long-term cash-flow generation:

Figure 6: DCF Formula

$$EV = \sum \frac{FCFF_t}{(1+WACC)^t} + \frac{TV}{(1+WACC)^n}$$

FCFF represents the cash available to all capital providers after operating costs, taxes, reinvestment, and working-capital requirements. It isolates operating performance from financing decisions, making it appropriate for enterprise level valuation:

Figure 7: FCFF Formula

$$FCFF = EBIT(1-T) + \text{Depreciation} - \text{CapEx} - \Delta WC$$

Where:

- EBIT = Earnings Before Interest and Taxes
- T = Effective Tax Rate
- CapEx = Capital Expenditure
- ΔWC = Change in Working Capital

The explicit forecast horizon typically covers five years, maintaining a balance between growth and margins visibility and reliable forecasting accuracy. After this period, TV is typically estimated using the Gordon Growth Model, which assumes perpetual growth at rate g :

Figure 8: Terminal Value Formula

$$TV = \frac{FCFF_{n+1}}{WACC - g}$$

All cash flows are discounted at the WACC, which reflects the required return for both equity and debt investors based on the firm's risk profile. While the numerical estimation of WACC is developed in Chapter 3, conceptually, it ensures consistency between the firm's risk characteristics and the discount rate applied in the DCF.

The DCF methodology is particularly appropriate for Capgemini, a mature, asset-light business with stable operating margins and recurring revenue streams. However, this model is sensitive to key assumptions. First, the WACC and the g , where small variations in these inputs influence the valuation. Second, for long-duration and cash-generative businesses, the TV often represents most of the enterprise value, which increases the weight of long-term assumptions relative to near-term forecasts. Third, forecasting cash flows inevitably involves judgment regarding revenue growth, margins, and reinvestment, which may not fully capture future macroeconomic or competitive developments.

To address these limitations, this dissertation complements the base-case DCF with sensitivity analysis on WACC and g and cross-checks the results using market-based multiples. This provides a range of plausible values rather than a single point estimate and tests the internal consistency of the assumptions.

2.3 Relative Valuation Frameworks

The relative valuation approach complements the DCF by providing a market-based benchmark for assessing Capgemini's value. It is grounded in the Law of One Price, which states that companies with similar business models, growth prospects, and risk profiles should trade at comparable valuation levels (Berk and DeMarzo, 2014).

Unlike the intrinsic approach, which derives value from projected cash flow, the relative valuation method observes how the market prices peer companies, thereby capturing investors' sentiments and expectations. It functions as an external cross-check to the DCF.

The analysis uses standard valuation multiples widely employed in practice:

- **EV/EBITDA**, indicates operating performance before non-cash charges and commonly used as a proxy for a cash-generation ability;
- **EV/EBIT**, includes depreciation and amortisation and therefore indicates operational efficiency and capital intensity;
- **P/E**, the share price to earnings ratio, reflect the amount investors are willing to pay for a unit of net profit;
- **EV/Revenue**, useful when comparing firms with differing margin structures or high-growth profiles, captures the market attributes to each unit of revenue, offering a valuation metric that is independent of operating profitability.

While multiple cannot independently determine intrinsic value, they offer a real-time benchmark for the market's pricing of an enterprise with comparable fundamentals. In this dissertation, relative valuation is applied as a consistency check for the DCF. The numerical application of this method, together with the peer-group selection, is presented in Chapter 3.

3.0 Empirical Analysis

This chapter applies the valuation methodologies introduced in Chapter 2 to Capgemini SE. It begins by analysing the company's financial performance and key indicators of financial health, which are useful for understanding its current position and for motivating the assumptions used in the DCF model. The chapter then develops the DCF and relative valuation approaches to estimate Capgemini's intrinsic value and market-based value. Finally, the results are interpreted to derive the investment recommendation.

3.1 Historical Financial Performance

Before applying the valuation model, it is essential to establish a clear baseline of Capgemini's recent financial performance and key indicators of financial health. This section examines the key indicators of liquidity, leverage, profitability, and returns that strengthen the assumptions adopted in the DCF model.

From FY2021 through FY2024, revenue expanded consistently before stabilising at €22,096 million in FY2024. Capgemini's asset-light business model continues to support robust cash generation, with average annual free cash flow of roughly €1,900 million, while capital expenditure has remained below 2% of revenues. Operating performance has been stable, with margins between 10-11% across the period (Capgemini SE, 2021; Capgemini SE, 2022; Capgemini SE, 2023; Capgemini SE, 2024).

Figure 9 summarises the core financial ratios for FY2024. A current ratio of 1.31x reflects balanced working-capital management, while a Net Debt/EBITDA ratio of 0.94x and interest coverage exceeding 11x indicate a conservative capital structure and strong debt repayment ability. Profitability remains healthy, with a 10.7% operating margin and 14.2% ROE, and a 34% Debt/Capital ratio, all consistent with a firm that maintains significant financial flexibility (Bloomberg L.P., 2025).

Figure 9: Key Financial Ratios FY2024

Ratio	FY2024
Current ratio	1.31x
Net Det/EBITDA	0.94x
Interest Coverage	11.2x
Operating Margin	10.7%
ROE	14.2%
Debt/Capital	34.0%

Collectively, these indicators illustrate a low-risk and consistently cash-generative profile, providing a strong foundation for the moderate cost of capital and the stable operational assumptions applied in the DCF valuation.

3.2 Discounted Cash Flow (DCF) Valuation

The DCF model is applied to estimate Capgemini's intrinsic EV by discounting the future FCFF at the WACC. Based on the methodology outlined in Chapter 2, this section explains how the model is implemented for Capgemini and sets out the key assumptions used in the forecast, including revenue growth, EBIT margins, tax rate, D&A, changes in working Capital and CapEx. These assumptions are based on the Group's historical performance, sector outlook, and market consensus, providing a transparent and robust foundation for the FCFF projections.

3.2.1 Revenue Growth Assumption

The revenue forecast in the model adopts a CAGR of 3.0% for the period 2025-2029. This assumption provides a measured and realistic medium-term outlook, supported by Capgemini's historical performance, industry dynamics, regional trends, and market expectations.

From FY2020 to FY2024, Capgemini's revenue increased from €15,848 million to €22,096 million, reflecting a weighted CAGR of 7.4%, a value inflated by post-pandemic recovery and the consolidation of Altran (Capgemini SE, 20204, pp.371-383). More recent results demonstrate a clear stabilisation phase: FY2024 revenues decreased by 1.9% YoY (-2.0% at constant FX), and the H1 2025 Interim Report revealed marginal growth of +0.2% at constant exchange rates (Capgemini SE, 2024, pp. 376-382; Capgemini SE, 2025, pp. 3, 8-14). This deceleration confirms the mature stage of Capgemini's business cycle and the temporary weakness in discretionary IT expenditure.

Sector forecasts reinforce a moderate growth environment. Gartner (2025) expects a 4% growth in IT services for 2025; however, IDC (2024) projects an annual 3-5% growth in consulting and managed services until 2027, driven by continued investment in digital, cloud, and AI. ISG's Q2 (2025) Index highlights the divergence between high-growth "as-a-service" solutions and the weaker performance of traditional managed services. Bloomberg consensus for Capgemini and peers such as Accenture and Cognizant points to annual revenue growth of 2-4%, aligned with Capgemini's FY2025 guidance of "low single-digit growth" and its

revenue outlook of -2% to +2% at constant currency. (Capgemini SE, 2024, pp. 28-30, 377-378; Capgemini SE, 20205; Bloomberg L.P., 2025).

As detailed in Chapter 1, regional performance remains heterogeneous. North America and the UK & Ireland show resilience, supported by demand for cloud, data, and AI services (+1.6% and +6% at constant FX in H1 2025). In contrast, France (-5%) and Rest of Europe (-2%) demonstrate diminished activity attributable to macroeconomic weakness and managed-services renegotiations. The APAC area grew by +8.7% in H1 2025, driven by momentum in Engineering and Intelligent Industry. These divergences justify the adoption of a conservative consolidated growth assumption (Capgemini SE, 2025, p. 6).

The 3.0% CAGR chosen for the prediction represents a midpoint between Capgemini's recent low-growth performance and the structural expansion expected across core digital and AI-driven sectors. It reflects a progressive normalisation of client expenditure from 2025 onwards, consistent with the Group's maturity, geographic distribution, and cyclical exposure. The assumption also aligns with long-term "GDP-plus" expectations for European IT-services reported by the OECD (2024) and major industry analysts.

Overall, the revenue forecast reflects a moderate but sustainable growth path, in accordance with Capgemini's status as a mature global IT-services provider with continued potential from cloud, data, and AI adoption.

3.2.2 EBIT Margin Assumptions

The EBIT margin forecast is anchored in Capgemini's stable profitability profile over the past five years. Between FY2020 and FY2024, the Group's EBIT margin ranged from 9.5% to 10.7%, with a five-year average of approximately 10.3% (Capgemini SE, 2024, pp. 372-383). This consistency reflects a mature, asset-light operating model whose margin dynamics remain structurally stable over time (Damodaran, 2012).

Capgemini's FY2024 results reported an EBITDA margin of 13.3-13.5%, which translates into an implied EBIT margin of around 10-10.5% once depreciation and amortisation (historically 3-3.5% of revenue) are accounted for (Capgemini SE, 2024, pp.370-380; Capgemini SE, 2025, pp. 8-9). This relationship between EBITDA and EBIT has been broadly persistent across reporting periods and provides a reliable basis for the forward-looking estimates. The H1 2025 results support this view: the Group recorded an adjusted operating margin of 12.4%, and management is guiding for a full-year range of 12.3-12.6% (Capgemini SE, 2025, pp. 3, 8). Given the typical 2-3 percentage point gap between adjusted

operating margin and IFRS EBIT, these figures align with a normalised EBIT range of 10-11%.

Industry and peer benchmarks further reinforce this assumption. Mature IT-services providers typically operate with EBIT margins between 10% and 12%, supported by scalable delivery models, efficiency programmes, and a mix of recurring and project-based work. Capgemini occupies the centre of this profitability spectrum: peers such as Accenture, Cognizant and Infosys report similar operating margins, whereas firms facing restructuring pressures operate well below this level (IDC, 2024; ISG, 2025). Bloomberg likewise places Capgemini within the median range of the European IT-service sector (Bloomberg L.P., 2025).

Looking forward, margin dynamics are expected to remain consistent. Greater exposure to premium digital services in cloud, data, and AI improves pricing stability, while efficiency and automation strategies mitigate cost constraints. These positive factors are offset by wage inflation and competitive pricing, particularly in Europe, limiting the potential for significant margin expansion.

The DCF model applies a prudent and realistic trajectory, with EBIT margins increasing from 10.1% in 2025 to 10.5% by 2030, resulting in an average of 10.3% over the forecast horizon. This assumption aligns with Capgemini's historical performance, sector benchmarks, and structural operating characteristics, guaranteeing internal consistency within the valuation framework.

3.2.3 Tax Rate Assumptions

Capgemini's effective tax rate has remained stable over recent years, averaging 27-28% between FY2020 and FY2024. The FY2024 Universal Registration Document reports an effective rate of 27.9%, while the H1 2025 Financial Reports show a slightly lower figure of 26.2%, reflecting changes in the geographical mix of earnings and the timing of deferred tax items (Capgemini SE, 2024, pp. 376-378; Capgemini SE, 2025, p. 5).

Although the statutory corporate tax rate in France is 25%, Capgemini's consolidated rate is structurally higher because a significant portion of earnings is generated in jurisdictions such as the United States and India, where statutory rates exceed the French benchmark. Limited recognition of deferred tax assets in certain markets further contributes to a higher effective rate (Capgemini SE, 2024; OECD, 2024).

Accordingly, the valuation adopts an effective tax rate of 26% in FY2025, gradually converging toward 27% over the forecast horizon. This assumption is aligned with the

Group's historical range and OECD corporate tax benchmarks and provides a realistic basis for computing after-tax operating income within the DCF framework (OECD, 2024).

3.2.4 Depreciation & Amortisation Assumptions

Depreciation and Amortisation have historically represented 3.5-4.0% of revenue, consistent with Capgemini's asset-light operating model and limited tangible asset base (Capgemini SE, 2025; Damodaran, 2025). For the forecast period, D&A is held constant at 3.1% of revenue, reflecting the Group's low capital intensity and the downward trend observed in recent years. This level is also aligned with peer benchmarks, such as Accenture and Cognizant, whose D&A ratios typically fall within the 3-3.5% range (Damodaran, 2025). Maintaining a stable D&A ratio ensures internal consistency in the valuation model and supports a balanced projection of operating performance.

3.2.5 Change in Working Capital Assumptions

In this valuation, operating working capital is defined as current operating assets minus current operating liabilities, excluding cash and other non-operating items. In IT-services firms like Capgemini, working capital is mostly driven by trade receivables, trade payables, and accrued income, with inventories being immaterial. Historical data indicate limited volatility in working capital requirements: between FY2020 and FY2024, annual changes ranged between -0.3% to -1.4% of revenues, with a five-year average close to -1% (Capgemini SE, 2021; Capgemini SE, 2022; Capgemini SE, 2023; Capgemini SE, 2024; Capgemini SE, 2025).

Sector studies support this pattern. Studies by PwC and EY indicate that consulting and IT services firms typically operate within a negative or low working capital intensity (around -0.5% to -1.5% of revenue), reflecting limited inventory requirements and efficient receivables management (EY, 2023; PwC, 2024). This is aligned with the asset-light operating model, where working capital remains proportionate to revenue in steady-state conditions (Damodaran, 2012; Koller, Goedhart and Wessels, 2020).

This model employs a cautious assumption of -0.5% of revenue for the forecast period. This reflects Capgemini's historical average, industry benchmarks, and established valuation theory, while preventing artificial volatility in free cash flow projections.

3.2.6 Capital Expenditure Assumptions

Capgemini's capital expenditure has remained structurally low, averaging around 1.3% of revenue over FY2020-2024, consistent with its asset-light operating model (Capgemini SE, 2021; Capgemini SE, 2022; Capgemini SE, 2023; Capgemini SE, 2024; Capgemini SE, 2025). Investments are concentrated in IT infrastructure, office modernisation and cloud-delivery capabilities, rather than in fixed physical assets, which limits the volatility of capital spending. The Group's financial reports highlight that capital expenditure has historically stayed below 2% of revenue, confirming the low capital intensity of the business (Capgemini SE, 2024, p.372).

Consistent with industry standards, CapEx is expected to remain predominantly focused on maintenance over the forecast period, supporting operational continuity and incremental digital upgrades. This approach aligns with valuation theory, which indicates that for mature companies, capital spending tends to be stable and proportionate to revenue, with growth investment requirements being modest and efficiency-driven (Damodaran, 2012; Koller, Goedhart and Wessels, 2020). To maintain internal consistency in the terminal year, CapEx is modelled to align with the level of depreciation, establishing a balanced steady-state relationship between reinvestment and asset consumption.

Figure 10: Table DCF Assumptions

(mln €)												
Assumptions	Historical Period					Forecast Period						
Calendar Year ending December 31	2020	2021	2022	2023	2024	2025	2026	2027	2028	2029	2030	avg
Revenue	15,848	18,160	21,995	22,522	22,096	22,427	22,876	23,562	24,387	25,240	26,301	
% growth	12.2%	14.6%	21.1%	2.4%	-1.9%	1.50%	2.00%	3.00%	3.50%	3.50%	4.20%	3.0%
Operating Profit (EBIT)	1,502	1,839	2,393	2,346	2,356	2,313	2,310	2,403	2,512	2,612	2,762	
% Margin	9.5%	10.1%	10.9%	10.4%	10.7%	10.3%	10.1%	10.2%	10.3%	10.4%	10.5%	10.3%
Effective Tax rate	29.5%	31.1%	31.3%	27.2%	28.8%	26.2%	27.0%	27.0%	27.0%	27.5%	27.5%	27.0%
Tax on EBIT	443.1	571.9	749.0	638.1	678.5	606.0	623.8	648.9	678.2	718.4	759.4	
Net Operating Profit After Tax (NOPAT)	1,059	1,267	1,644	1,708	1,677	1,707	1,687	1,754	1,834	1,894	2,002	
D&A	649.0	672.0	719.0	700.0	683.0	695.3	709.2	730.4	756.0	782.5	815.3	
% Revenues	4.1%	3.7%	3.3%	3.1%	3.1%	3.1%	3.1%	3.1%	3.1%	3.1%	3.1%	3.1%
Change in Working Capital	(44.0)	529.0	(193.0)	(320.0)	(214.0)	(112.1)	(114.4)	(117.8)	(121.9)	(126.2)	(131.5)	
% Revenues	-0.3%	2.9%	-0.9%	-1.4%	-1.0%	-0.50%	-0.50%	-0.50%	-0.50%	-0.50%	-0.50%	-0.5%
Capex	(204.0)	(262.0)	(283.0)	(254.0)	(310.0)	(293.7)	(300.6)	(303.5)	(314.2)	(333.3)	(815.3)	
% Revenues	-1.3%	-1.4%	-1.3%	-1.1%	-1.4%	-1.31%	-1.31%	-1.29%	-1.29%	-1.32%	-1.30%	-1.3%

Based on these assumptions, FCFF is calculated using the conventional formula:

Figure 11: FCFF formula

$$\text{FCFF} = \text{EBIT}(1-T) + \text{Depreciation} - \text{CapEx} - \Delta\text{WC}$$

The resultant projections are summarised in Figure 12. FCFF increases gradually from approximately €2,000 million in FY2025 to €2,200 million in FY2029, supported by stable margins, prudent working-capital management, and modest reinvestment needs. A slight reduction occurs in FY2030 as capital expenditure converges toward depreciation under

steady-state assumption, as commonly adopted in valuation models (Koller et al., 2020; Damodaran, 2012). The forecasted cash-flow profile illustrates Capgemini's mature, cash-generative model and provides the basis for the intrinsic valuation developed in the next section.

Figure 12: Table Free cash Flow to the Firm

(mln €)											
Cash Flow Statement	Historical Period					Forecast Period					
Calendar Year ending December 31	2020	2021	2022	2023	2024	2025	2026	2027	2028	2029	2030
Revenue	15,848	18,160	21,995	22,522	22,096	22,427	22,876	23,562	24,387	25,240	26,301
Operating Profit (EBIT)	1,502	1,839	2,393	2,346	2,356	2,313	2,310	2,403	2,512	2,612	2,762
Tax on EBIT	443.1	571.9	749.0	638.1	678.5	606.0	623.8	648.9	678.2	718.4	759.4
Net Operating profit after tax (NOPAT)	1,059	1,267	1,644	1,708	1,677	1,707	1,687	1,754	1,834	1,894	2,002
Plus: D&A	649.0	672.0	719.0	700.0	683.0	695.3	709.2	730.4	756.0	782.5	815.3
Less: Change in Working Capital	(44.0)	529.0	(193.0)	(320.0)	(214.0)	(112.1)	(114.4)	(117.8)	(121.9)	(126.2)	(131.5)
Less: Capex	(204.0)	(262.0)	(283.0)	(254.0)	(310.0)	(293.7)	(300.6)	(303.5)	(314.2)	(333.3)	(815.3)
Free Cash Flow to the Firm (FCFF)	1,460	2,206	1,887	1,834	1,836	1,996	1,981	2,064	2,153	2,217	1,871

3.3 Weighted Average Cost of Capital (WACC)

The Weighted Average Cost of Capital (WACC) represents the average return required by both equity and debt holders and serves as the discount rate applied to Capgemini's forecasted free cash flows and TV. Because equity and debt bear different levels of risk and benefit from different tax treatments, the WACC reflects the firm's market-value capital structure and the opportunity cost of investing in Capgemini relative to companies with comparable risk profiles.

The WACC is computed as the weighted average of the after-tax cost of debt and the cost of equity:

Figure 13: WACC Formula

$$\text{WACC} = \text{After Tax Cost of Debt} \times \% \text{ of Debt in Capital Structure} + \text{Cost of Equity} \times \% \text{ of Equity in Capital Structure}$$

$$\text{WACC} = [r_d \times (1 - t)] \times \frac{D}{D + E} + r_e \times \frac{E}{D + E}$$

Where: r_d = cost of debt
 r_e = cost of equity
 t = marginal tax rate
 D = market value of debt
 E = market value of equity

This section sets out how the inputs were estimated using market data as of 30 June 2025, providing a transparent foundation for the valuation.

3.3.1 Cost of Equity (CAPM)

The cost of equity reflects the return required by shareholders for bearing Capgemini's business and financial risk. It is estimated using the Capital Asset Pricing Model (CAPM):

Figure 14: CAPM Formula

$$\text{Cost of Equity} = \text{Risk Free Rate} + \text{Equity Beta} \times \text{Market Risk Premium}$$

This method is appropriate for a publicly traded company such as Capgemini because it uses observable market data and provides a theoretically consistent measure of investor expectations.

Risk-Free Rate

The risk-free rate corresponds to the 10-year French OAT yield, equal to 3.52% as of 30 June 2025 (Bloomberg L.P., 2025). This is consistent with the euro denomination of the cash flows and reflects the most liquid and default-free benchmark in the French sovereign market.

Equity Beta

Beta measures the sensitivity of Capgemini's equity returns to movements in the broader equity market and quantifies the firm's exposure to systematic (non-diversifiable) risk. It is computed as the slope coefficient of the regression:

Figure 15: Unlevered Beta Formula

$$\text{Unlevered Beta (Asset Beta)} = \frac{\text{Covariance of the asset with the Market Portfolio}}{\text{Variance of the Market Portfolio}}$$

The five-year weekly adjusted beta was retrieved from Bloomberg, calculated against the CAC 40 Index and incorporating a Blume adjustment (Bloomberg L.P., 2025). The resulting levered beta of 1.109 reflects Capgemini's moderate exposure to global technology and consulting cycles, while also capturing the stabilising effect of its diversified business model and recurring revenue base. As the Bloomberg estimate already incorporates the firm's capital structure, neither additional leveraging nor re-levering adjustments were required.

Equity Risk Premium (ERP)

The ERP represents the expected excess return of the equity market over the risk-free rate:

Figure 16: Equity Risk Premium Formula

$$\text{ERP} = E(R_m) - R_f$$

Where:

- $E(R_m)$ = Expected market return
- R_f = Risk-Free rate

To ensure consistency with the euro-area risk-free rate, the French equity risk premium of 5.13% was taken from Damodaran (2025). This country-specific ERP is appropriate because Capgemini is listed in France, raises capital primarily in Europe, and has significant operational exposure across European markets.

Applying the CAPM formula yields a cost of equity of 9.21%. This estimate reflects Capgemini's moderate risk profile, low average share-price volatility, and stable margins.

3.3.2 Cost of Debt

The cost of debt represents the market yield that Capgemini would be expected to pay on long-term borrowing. It is estimated using a market-based approach:

Figure 17: Cost of Debt Formula

$$\text{Cost of Debt} = \text{Risk-Free Rate} + \text{Credit Spread}$$

The risk-free rate is again the 10-year French OAT (3.52%). The credit spread is estimated as the difference between this sovereign benchmark and the market yield on Capgemini's BBB rated long-term debt. Bloomberg bond data indicate that Capgemini's outstanding BBB rated notes were trading at approximately 3.615%, implying a credit spread of around 10bps (Bloomberg L.P., 2025). On this basis, the cost of debt is estimated at 3.62%. Capgemini's investment-grade profile, modest leverage, and strong liquidity position support the assumption that its borrowing cost will remain stable over the forecast horizon.

The capital structure is determined using the market values, in line with standard corporate finance practice. The market capitalisation of Capgemini, sourced from Bloomberg on 30 June 2025, amounts to €24,850 million, while net debt reported in the FY2024 Universal Registration Document is €2,110 million (Capgemini SE, 2024, p. 417; Bloomberg L.P., 2025). These figures yield a total capital of €26,960 million, implying an equity weight of 92.18% and a debt weight of 7.82%. These capital structures confirm that Capgemini is predominantly equity-financed structure, consistent with its low-risk profile, resilient cash-flow generation, and investment-grade credit profile.

3.3.3 WACC Estimation

Substituting the estimated inputs into the WACC formula:

Figure 18: WACC Formula

WACC = After Tax Cost of Debt × % of Debt in Capital Structure + Cost of Equity × % of Equity in Capital Structure

$$WACC = [r_d \times (1 - t)] \times \frac{D}{D + E} + r_e \times \frac{E}{D + E}$$

The resulting WACC is 8.69%. This rate captures Capgemini's conservative balance sheet, investment-grade credit standing, and strong equity base. It is used to discount both the projected free cash flow and the TV in the following section.

Figure 19: Table WACC

WACC	
Market Cap	24,850.0
% of Equity	92.18%
Cost of Equity	9.21%
Risk Free Rate	3.52%
Adj Beta	1.109
Market Risk Premium	5.13%
Debt	2,107
% of Debt	7.82%
Cost of Debt	3.62%
Debt Spread	0.091%
Tax Rate	28.80%
Total	26,957
WACC	8.69%

3.4 Terminal Value

The Terminal Value (TV) captures the present value of Capgemini's cash flows beyond the 2025-2030 forecast horizon and reflects the firm's long-term ability to generate stable free cash flows once operations stabilise. Consistent with standard valuation practice for mature firms, the TV is estimated using the Gordon Growth Model:

Figure 20: Terminal Value Formula

$$TV = \frac{FCFF_{2030}(1 + g)}{WACC - g}$$

Where $FCFF_{2030}$ equals €1,871 million, g is the perpetual nominal growth at of 3% and the discount rate corresponds to the 8.69% WACC derived in Section 3.3. Substituting these

inputs yields a Terminal Value of €33,800 million, corresponding to the continuation component incorporated into the EV estimate.

Figure 21: Table FCFF and TV

(mln €)												
Cash Flow Statement		Historical Period					Forecast Period					
Calendar Year ending December 31		2020	2021	2022	2023	2024	2025	2026	2027	2028	2029	2030 TV 2031
Revenue		15,848	18,160	21,995	22,522	22,096	22,427	22,876	23,562	24,387	25,240	26,301
Operating Profit (EBIT)		1,502	1,839	2,393	2,346	2,356	2,313	2,310	2,403	2,512	2,612	2,762
Tax on EBIT		443.1	571.9	749.0	638.1	678.5	606.0	623.8	648.9	678.2	718.4	759.4
Net Operating profit after tax (NOPAT)		1,059	1,267	1,644	1,708	1,677	1,707	1,687	1,754	1,834	1,894	2,002
Plus: D&A		649.0	672.0	719.0	700.0	683.0	695.3	709.2	730.4	756.0	782.5	815.3
Less: Change in Working Capital		(44.0)	529.0	(193.0)	(320.0)	(214.0)	(112.1)	(114.4)	(117.8)	(121.9)	(126.2)	(131.5)
Less: Capex		(204.0)	(262.0)	(283.0)	(254.0)	(310.0)	(293.7)	(300.6)	(303.5)	(314.2)	(333.3)	(815.3)
Free Cash Flow to the Firm (FCFF)		1,460	2,206	1,887	1,834	1,836	1,996	1,981	2,064	2,153	2,217	1,871 33,838

Perpetual Growth rate (g)

The perpetual growth rate of 3.0% reflects a sustainable long-term assumption aligned with established valuation practice, which recommends anchoring g to long-run nominal GDP growth (Damodaran, 2012; Koller, Goedhart and Wessels, 2020). The OECD and European Commission forecast nominal GDP growth between 2.5% and 3.5% in Capgemini's core markets, combining real output growth of 1-1.5% with inflation close to 2% (European Commission, 2025; OECD, 2025).

These assumptions also align with the current growth expectations in the IT and consulting services sector, where structural expansion is anticipated to converge towards GDP growth as digital-transformation investments normalise (Gartner, 2024; ISG, 2025).

A 3% g therefore lies as the upper bound of long-term nominal GDP expectations but remains conservative relative to recent sector dynamics. The chosen rate also respects the theoretical constraint that g must remain below the discount rate, ensuring a finite and economically coherent TV.

3.5 Enterprise Value

The Enterprise Value (EV) captures the total value of Capgemini's core operating activities and represents the sum of the discounted free cash flows generated during the explicit forecast horizon and the discounted TV. Consistent with the standard DCF approach, EV is obtained by discounting each yearly FCFF at the WACC and adding the present value of the TV:

Figure 22: Enterprise Value Formula

$$EV = \sum \frac{FCFF_t}{(1+WACC)^t} + \frac{TV}{(1+WACC)^n}$$

The FCFF estimates for 2025-2030 and the terminal cash flow for 2031 were derived using the assumptions established in Sections 3.2 and 3.3. After discounting each projected FCFF at

the 8.69% WACC and applying Gordon Growth TV with a g rate of 3.0%, the resulting EV amounted to 29,778 million.

Figure 23: Table Enterprise Value

(mln €)							
Discounted Cash Flow	2025	2026	2027	2028	2029	2030	2031
Periods (t)	1	2	3	4	5	6	6
Discount factor	0.920	0.846	0.779	0.716	0.659	0.606	0.606
Discounted FCFF / Present value FCFF	1,837	1,677	1,607	1,543	1,461	1,134	20,520
Enterprise Value							29,778

This outcome is consistent with the characteristics of a mature, asset-light IT services firm such as Capgemini, where a substantial portion of intrinsic value derives from stable long-term cash generation rather than short-term operating fluctuations. As expected, the TV constitutes the largest component of EV, reflecting the company's sustained ability to generate recurring free cash flows in perpetuity.

3.6 Equity Value and Implied Share Price

To derive the equity value attributable to shareholders, the EV obtained from the DCF analysis (€29,778 million) was adjusted for non-operating balance-sheet items. Net debt of €2,107 million was deducted, together with €22 million in minority interests, while no non-core financial assets were identified. These adjustments yield an equity value of €27,649 million. Dividing this amount by the number of diluted shares outstanding as of 30 June 2025 results in an implied intrinsic share price of €156.74.

Figure 24: Table Enterprise Value and Stock Price

(mln €)							
Discounted Cash Flow	2025	2026	2027	2028	2029	2030	2031
Periods (t)	1	2	3	4	5	6	6
Discount factor	0.920	0.846	0.779	0.716	0.659	0.606	0.606
Discounted FCFF / Present value FCFF	1,837	1,677	1,607	1,543	1,461	1,134	20,520
Enterprise Value							29,778
Less: Net Debt							2,107.0
Less: Minority Interest							22.0
Plus: Non Core Financial Assets							0.0
Equity Value							27,649
Divided: Shares outstanding							176.40
Share Price							156.74

Compared with Capgemini's market price of €145.05 as of 30 June 2025, the implied valuation suggests that the stock was trading below its fundamental value on a standalone DCF basis (Bloomberg L.P., 2025).

3.7 Sensitivity Analysis

A sensitivity analysis was conducted to assess how variation in the WACC and g influences Capgemini's valuation. These ranges selected, WACC ± 0.5 percentage points around the base case of 8.69%, and g between 2.5% and 4.0%, reflect reasonable uncertainty regarding long-term financing conditions and sustainable growth prospects for mature IT-services firms.

Using a WACC of 8.69% and g of 3%, the base case DCF yields an enterprise value of €29,778 million. The matrix below reports the undiscounted TV resulting from alternative combinations of WACC and g . Under the base case, the TV amounts to €57,519 million, consistent with the dominant contribution of the continuation phase in the valuation of an asset-light services business.

Figure 25: Sensitivity of Terminal Value to WACC and Perpetual Growth Rate

(mln €)		Perpetual Growth Rate			
		2.5%	3.0%	3.5%	4.0%
WACC	7.69%	33,206.25	33,206.25	35,854.41	43,301.34
	8.19%	44,238.19	44,238.19	49,839.10	68,699.21
	8.69%	57,519.00	57,519.00	68,699.21	119,149.35
	9.19%	67,199.78	67,199.78	84,570.75	194,397.35
	9.69%	64,321.04	64,321.04	80,907.50	185,774.11

Two patterns clearly emerge. First, TV increases as g increases, consistent with the Gordon Growth formulation. Second, TV initially rises as WACC increases to 9.19%, then declines to 9.69%, suggesting a point at which higher growth outweighs the uplift. These changes are modest but informative in understanding how long-term assumptions influence intrinsic value.

Numerically, the combination of WACC (8.19%) and g (3.5%) produces a TV of €49,839 million, while the conservative case (WACC 7.69%, g 2.5%) yields approximately €33,206 million. Across all scenarios, the results remain economically consistent with the value profile of a mature IT-services firm characterised by stable cash-flow generation and long-duration earnings.

Overall, the analysis confirms that Capgemini's intrinsic value is moderately sensitive to changes in the discount rate and highly sensitive to the perpetual growth assumption, given the substantial weight of the terminal component within the DCF model. These findings reinforce the robustness of the base-case valuation and support the credibility of the underlying assumptions.

3.8 Relative Valuation

The relative valuation provides a market-based cross-check to the intrinsic DCF results by comparing Capgemini's valuation multiples with a set of those comparable global IT-services providers. The peer group, selected using Capgemini's disclosures and Bloomberg industry classifications, includes Accenture, Cognizant, Infosys, and Tata Consultancy Services (Capgemini SE, 2024; Bloomberg L.P., 2025). These companies operate on a global scale and offer broadly similar service portfolios.

Financial inputs were taken from each company's FY2024 annual report (Accenture, 2024; Cognizant, 2024; Infosys, 2024; Tata Consultancy Services, 2024), while market data, including share prices, enterprise values and trading multiples, were aligned with the valuation date of 30 June 2025 (Bloomberg L.P., 2025). Trailing FY2024 multiples were used to avoid reliance on analyst forecasts and to reflect market sentiment at that time of valuation.

Figure 26: Peers multiple

Company	P/E	EV/EBITDA	EV/EBIT	EV/Revenue
Capgemini	15.8x	9.1x	11.8x	1.3x
Accenture (ACN)	23.6x	12.8x	17.6x	2.4x
Cognizant (CTSH)	15.6x	9.6x	12.1x	1.8x
Infosys	24.3x	15.4x	17.6x	3.6x
Tata Consultancy Services	25.4x	17.0x	18.5x	4.5x
Avarage	22.2x	13.7x	16.4x	3.1x

Capgemini trades at a modest discount relative to its peer group across all key trading multiples. Its EV/EBITDA of 9.1x is below the peer average of 13.7x, implying that the market assigns a lower valuation to each euro of Capgemini's operating cash flow (Bloomberg L.P., 2025). This discount reflects its more moderate growth profile compared with higher-valued US and Indian firms, where structural offshore advantages or premium consulting franchises support higher expected returns.

Similarly, Capgemini's EV/EBIT of 11.8x, below the sector average of 16.4x, suggests that the market prices Capgemini's operating earnings more conservatively, consistent with the firm's European revenue mix and slower regional IT spending cycles (Bloomberg L.P., 2025).

Capgemini's P/E ratio of 15.8x also sits below the peer median. A below-average P/E typically indicates either lower expected earnings growth, higher perceived risk, or temporary uncertainty in the operating cycle (Bloomberg L.P., 2025). In Capgemini's case, this aligns with the management guidance of "low single-digit" revenue growth for FY2025 and with

reduced discretionary IT spending in parts of Europe. Importantly, the ratio remains far above distressed levels, signalling that the market still recognises the company's stable profitability and cash-generation capacity.

The EV/Revenue multiple of 1.3x reinforces this interpretation: it reflects conservative pricing of Capgemini's top line relative to peers but remains consistent with the characteristics of a mature IT-services provider operating mainly in developed markets (Bloomberg L.P., 2025).

Although the relative valuation does not compute a standalone implied enterprise value, comparing Capgemini's trading multiples with sector benchmarks provides a meaningful indication of how the market might price the firm if it traded in line with peers. The consistent discount across EV/EBITDA, EV/EBIT, P/E and EV/Revenue provides a clear directional signal supporting the modest undervaluation indicated by the DCF.

Finally, the relative valuation results align closely with the DCF implied share price of €156.74, compared with the market price of €145.05 as of 30 June 2025. The convergence between intrinsic and relative market-based evidence strengthens the validity of the valuation and provides a coherent basis for the final investment conclusion.

4.0 Conclusion

This dissertation estimated the intrinsic value of Capgemini through a forward-looking DCF approach supported by a sensitivity analysis and a relative valuation benchmark. The results indicate that Capgemini is a mature and solid company operating in a growing industry, supported by resilient cash-generation, disciplined capital allocation, and sustained exposure to structural digital transformation trends.

Using the FY2024 financial statements and market data as of 30 June 2025, the FCFF-based model produced an enterprise value of €29,778 million, discounted at a WACC of 8.69% and a perpetual growth rate of 3.0%. After adjusting for net debt and minority interests and dividing by 176.4 million diluted shares, the implied fair value per share equals €156.74, compared with a market price of €145.05, an upside of approximately 8%, indicating undervaluation.

The sensitivity analysis confirms that valuation outcomes vary with changes in WACC and long-term growth assumptions. More optimistic scenarios lift enterprise value above €49,000 million, while conservative cases reduce intrinsic value. Across all plausible combinations, however, fair value remains at or above the market levels.

The relative valuation reinforced the DCF outcome. Compared with peers such as Accenture, Cognizant, Infosys and Tata Consultancy Services, Capgemini trades at a discount on EV/EBITDA, EV/EBIT, and P/E multiples, suggesting that the market underprices the firm relative to competitors with similar growth and risk exposure.

Overall, the DCF, sensitivity analysis, and multiples all converge in a consistent direction: as of 30 June 2025, Capgemini's market price did not fully reflect its intrinsic value. The company's diversified client base, strong order book, and strategic exposure to cloud, data and AI technologies support a positive long-term outlook despite near-term cyclical risks.

Although this dissertation refers to the 30 June 2025 valuation date, it is noteworthy that Capgemini's share price declined in the following months, fluctuating between €121-€145, with a six-month average of approximately €133.3 (Investing.com, 2025). This pattern reflects broader market volatility rather than firm-specific weakness and further increases the discount relative to the intrinsic value estimated in this work.

Based strictly on the valuation reference date, the appropriate investment recommendation is **BUY**, with subsequent price movements further strengthening the underlying rationale.

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5.0 Appendices

Appendix 1: DCF Forecast Assumption Table

(mln €)	WACC										
	8.69%										
(mln €)	Perpetual/Terminal Growth Rate (g)										
	3.0%										
Assumptions	Historical Period					Forecast Period					
Calendar Year ending December 31	2020	2021	2022	2023	2024	2025	2026	2027	2028	2029	2030
Revenue	15,848	18,160	21,995	22,522	22,096	22,427	22,876	23,562	24,387	25,240	26,301
% growth	12.2%	14.6%	21.1%	2.4%	-1.9%	1.50%	2.00%	3.00%	3.50%	3.50%	4.20%
Operating Profit (EBIT)	1,502	1,839	2,393	2,346	2,356	2,313	2,310	2,403	2,512	2,612	2,762
% Margin	9.5%	10.1%	10.9%	10.4%	10.7%	10.3%	10.1%	10.2%	10.3%	10.4%	10.5%
Effective Tax rate	29.5%	31.1%	31.3%	27.2%	28.8%	26.2%	27.0%	27.0%	27.0%	27.5%	27.5%
Tax on EBIT	443.1	571.9	749.0	638.1	678.5	606.0	623.8	648.9	678.2	718.4	759.4
Net Operating Profit After Tax (NOPAT)	1,059	1,267	1,644	1,708	1,677	1,707	1,687	1,754	1,834	1,894	2,002
D&A	649.0	672.0	719.0	700.0	683.0	695.3	709.2	730.4	756.0	782.5	815.3
% Revenues	4.1%	3.7%	3.3%	3.1%	3.1%	3.1%	3.1%	3.1%	3.1%	3.1%	3.1%
Change in Working Capital	(44.0)	529.0	(193.0)	(320.0)	(214.0)	(112.1)	(114.4)	(117.8)	(121.9)	(126.2)	(131.5)
% Revenues	-0.3%	2.9%	-0.9%	-1.4%	-1.0%	-0.50%	-0.50%	-0.50%	-0.50%	-0.50%	-0.50%
Capex	(204.0)	(262.0)	(283.0)	(254.0)	(310.0)	(293.7)	(300.6)	(303.5)	(314.2)	(333.3)	(815.3)
% Revenues	-1.3%	-1.4%	-1.3%	-1.1%	-1.4%	-1.31%	-1.31%	-1.29%	-1.29%	-1.32%	-1.30%

Appendix 2: DCF Free Cash Flow and Valuation Output

(mln €)											
Cash Flow Statement	Historical Period					Forecast Period					
Calendar Year ending December 31	2020	2021	2022	2023	2024	2025	2026	2027	2028	2029	2030
Revenue	15,848	18,160	21,995	22,522	22,096	22,427	22,876	23,562	24,387	25,240	26,301
Operating Profit (EBIT)	1,502	1,839	2,393	2,346	2,356	2,313	2,310	2,403	2,512	2,612	2,762
Tax on EBIT	443.1	571.9	749.0	638.1	678.5	606.0	623.8	648.9	678.2	718.4	759.4
Net Operating profit after tax (NOPAT)	1,059	1,267	1,644	1,708	1,677	1,707	1,687	1,754	1,834	1,894	2,002
Plus: D&A	649.0	672.0	719.0	700.0	683.0	695.3	709.2	730.4	756.0	782.5	815.3
Less: Change in Working Capital	(44.0)	529.0	(193.0)	(320.0)	(214.0)	(112.1)	(114.4)	(117.8)	(121.9)	(126.2)	(131.5)
Less: Capex	(204.0)	(262.0)	(283.0)	(254.0)	(310.0)	(293.7)	(300.6)	(303.5)	(314.2)	(333.3)	(815.3)
Free Cash Flow to the Firm (FCFF)	1,460	2,206	1,887	1,834	1,836	1,996	1,981	2,064	2,153	2,217	1,871
											33,838
(mln €)											
Discounted Cash Flow						2025	2026	2027	2028	2029	2030
Periods (t)						1	2	3	4	5	6
Discount factor						0.920	0.846	0.779	0.716	0.659	0.606
Discounted FCFF / Present value FCFF						1,837	1,677	1,607	1,543	1,461	1,134
Enterprise Value											
Less: Net Debt											
Less: Minority Interest											
Plus: Non Core Financial Assets											
Equity Value											
Divided: Shares outstanding											
Share Price											

Appendix 3: Illustrative Scenario Analysis.

This appendix provides an illustrative bull and bear based on $\pm 20\%$ adjustments to key operating assumptions. The scenarios are not part of the main analysis and do not affect the investment recommendation. They are included only to show the valuation would react under more optimistic or conservative assumptions.

BASE CASE

Enterprise Value	29,778
(-)Net Debt	2,107.0
(-)Minority interest	22.0
(+)Non core financial assets	0.0
(=)Equity Value	27,649
(+)Diluted Share outstanding	176.4
(=)Equity Value per Share	156.74

BULL CASE

Enterprise Value	32,166
(-)Net Debt	2,107.0
(-)Minority interest	22.0
(+)Non core financial assets	-
(=)Equity Value	30,037
(+)Basic Share outstanding	176.4
(=)Equity Value per Share	170.28

BEAR CASE

Enterprise Value	22,499
(-)Net Debt	2,107.0
(-)Minority interest	22.0
(+)Non core financial assets	-
(=)Equity Value	20,370
(+)Basic Share outstanding	170.2
(=)Equity Value per Share	119.68